A COLLECTION OF SHORT NOTES | DERIVED FROM RESEARCH AND READINGS | 17 JULY 2026

Routes, Rates and Rare Earths

Seven notes on energy, sovereign debt, AI economics and the geography of a changing market.

THE OPENING THOUGHT

The 17 July weekly report sees a market rotating toward hard assets, cash flow and geographic diversification as the cost of capital and the cost of physical security both rise.

4.5% US 10-year yield warning level in the source report	**$1tn** Potential broader AI capex in 2027	**5.9%** China Q2 nominal GDP growth cited in the source report	**99%** China share of heavy rare-earth refining cited

This collection begins at the point where a chart meets a shipping lane. The research behind these notes sees a world in which oil is not the only energy story, bonds are not automatically the quiet refuge, and the glamorous AI boom depends on magnets, memory, power and trade routes that rarely make the keynote slide.

These are short notes derived from research and readings. Facts and figures remain attributed to the source material; the prose is an editorial synthesis, not independent verification or personalised investment advice.

EXECUTIVE SUMMARY

The short version

The report's central distinction is between businesses that are technologically exciting and businesses that are financially resilient. The preferred posture is selective growth, anchored by hard assets, cash flow, geographic breadth and a healthy suspicion of anything that needs cheap money to remain beautiful.

Physical disruption is the inflation risk hiding behind the crude chart.
Diesel, refined products, freight, food and insurance can carry a geopolitical shock into everyday prices more quickly than headline oil alone suggests.

Government-bond stress is a cross-asset issue.
Higher yields can pressure valuations, public finances and the collateral beneath leveraged markets; Japan remains the clearest warning case.

The AI winners may not be the companies with the best slogans.
Infrastructure, power, memory and selected industrial exposure have clearer near-term economics than highly leveraged platforms and labs with distant payback.

The notes that follow are intentionally compact. They are meant to be read as a collection: each holds one idea, one tension and one question worth carrying into the next page.

A MAP BEFORE THE WALK

Contents

Each note may be read on its own. Together they form a picture of the week's recurring pressures and possibilities.

NOTE 01 | THE DETOUR IS THE INFLATION

Oil is not the whole bill

The price of a barrel is the headline. Diesel, freight, food and insurance are the plot.

The weekly report argues that renewed US-Iran conflict and constrained Hormuz traffic are more consequential through refined products than through crude alone. Diesel travels through freight, agriculture, construction, mining and manufactured goods. It is a quiet amplifier: one cost entering the system and leaving in several places.

The risk also extends beyond one strait. The report highlights the Red Sea, the Bab el-Mandeb and the Black Sea grain trade. A map can become a consumer-price index by way of a delayed ship. This is why the report favours energy, refiners, infrastructure, fertilisers and selected grains over fuel-sensitive businesses without pricing power.

> *"The price of oil is one number. The price of disruption is a relay race."*

What to watch
Diesel, crack spreads, freight rates and actual shipping traffic can tell a more useful inflation story than Brent alone.

Source trail: Jefferies GREED & fear and 13D, as summarised in the weekly report.

When the safe haven needs a life jacket

Government bonds are supposed to calm the room. The report's concern is that they are increasingly becoming the room.

The source report sees the US 10-year yield above 4.5% as a warning signal and a decisive move above 5% as a major cross-asset event. The mechanism is simple: higher yields raise the price investors demand for owning future earnings, increase debt-service burdens and strain the collateral underneath leveraged finance.

Japan remains the cautionary example. With public debt above 200% of GDP and the Bank of Japan owning roughly half the government-bond market, the country shows what fiscal dominance can look like: weak currency, imported inflation and the possibility that domestic investors are encouraged to bring savings home. That would not remain a Japanese story for long.

> *"A bond yield can be a number, a warning and eventually an argument with reality."*

Portfolio implication

The weekly report prefers limited duration, selective equities over Japanese bonds, and close attention to the MOVE index as a bond-volatility gauge.

Source trail: 13D and Jefferies Asia Maxima, as summarised in the weekly report.

NOTE 03 | THE AI ACCOUNTING QUESTION

Strong technology, awkward capital economics

The question is not whether AI works. It is who earns the return after everyone has bought the machinery.

The weekly report places broader AI spending above $1 trillion in 2027, with the largest hyperscalers expected to devote 92% of operating cash flow to capex in 2026. Debt has begun to supplement cash flow. That creates a delicate equation: rising yields, slower revenue or wider credit spreads can make a heroic build-out feel much less heroic.

The near-term winners remain the picks and shovels - semiconductors, memory, foundries, networking, power and cooling. The report's useful distinction is between technological winners and financial winners. Those are not always the same people, especially when depreciation arrives after the equipment has already been celebrated.

> *"The server arrives today. The return on it arrives later, if it arrives at all."*

A better question for earnings calls
Watch capex payback, lease commitments, depreciation, bond issuance, customer token usage and the relative performance of hyperscalers against the suppliers they fund.

Source trail: Jefferies Asia Maxima; CLSA Alpha Abstract; 13D, as summarised in the weekly report.

Good enough, everywhere

China's stated AI ambition is less about winning every benchmark and more about filling the factory floor with sufficiently capable intelligence.

The source report describes a 2 trillion yuan data-centre programme with at least 80% domestic hardware, domestic accelerator training and rapidly improving open models. The economic challenge to the US ecosystem is not necessarily a visibly superior Chinese model. It is a model that is close enough, cheap enough and open enough to turn large parts of the AI layer into a commodity.

The report also sees a more constructive China macro picture: nominal GDP growth of 5.9%, producer prices and industrial profits improving, household lending recovering in June and mainland flows returning to Hong Kong. Equity leadership is reported to be rotating toward large-cap, dividend and cash-generative businesses.

> *"The most dangerous competitor is not always the best product. It is often the product that is good enough at a price that changes behaviour."*

The preferred China lens

Large-cap internet, banks, insurers, dividend payers, consumer staples, healthcare, AI infrastructure and selected industrial automation are favoured in the source report over speculative small-cap growth.

Source trail: 13D and Jefferies Asia Maxima, as summarised in the weekly report.

Not every semiconductor trade is the same trade

Asia is not one market with better food. It is a cluster of different rates, currencies, policy choices and expectations wearing similar labels.

The report prefers Hong Kong and selected India large caps while urging caution around index-level Korea and Taiwan exposure. Korea and Taiwan remain central to AI hardware, but valuations, benchmark concentration and leverage are unusually elevated. A strategic holding can make sense; a blind index overweight is a different animal entirely.

India is presented as a mean-reversion idea: foreign selling was heavy, but large caps were unusually cheap relative to mid-caps and domestic credit growth remained supportive. Indonesia is the opposite case - cheap, but cheap for reasons involving policy confidence and currency stress. Geography is not a decoration on the portfolio. It is part of the balance sheet.

> *"A country allocation is a view on earnings, currency, policy and mood - all at once."*

The source report's regional tilt

Overweight Hong Kong and selective China value; modestly overweight India large caps; retain selective semiconductor leaders while trimming crowded Korea and Taiwan index exposure.

Source trail: Jefferies Asia Maxima and GREED & fear, as summarised in the weekly report.

NOTE 06 | MAGNETS, MINERS AND THE REAL WORLD

Hard assets are having a quiet argument with paper assets

Gold is consolidating. Rare earths are strategic. Energy is geopolitical. None of this is as tidy as a spreadsheet, which is partly the point.

The report treats gold as structurally intact even through a tactical pause, and sees relative strength in explorers as a sign that patient capital is moving further out the mining risk curve. It also stresses China's reported dominance of heavy rare-earth refining and permanent-magnet production, exposing defense, robotics, electric vehicles and specialist manufacturing to a supply chain that is not yet easily replaced.

The preferred answer is not a single commodity obsession. It is a diversified hard-asset sleeve: physical gold, profitable miners, selected explorers, copper, energy, agriculture and credible ex-China processing assets. The word credible does considerable work there; geology, permits and metallurgy do not always read the press release.

> *"In a world that has rediscovered scarcity, the dull parts of industry become rather glamorous."*

A compliance cliff in the making

Western sourcing restrictions tighten in 2027 while ex-China processing and traceability remain inadequate. Projects may receive capital and policy support, but execution risk remains real.

Source trail: 13D, as summarised in the weekly report.

Selective growth, structural insurance

A portfolio is an economy in miniature. It needs productive engines, reserves, supply security and a little humility about what can go wrong.

The weekly report's conclusion is selectively risk-on, not broad risk-off. It favours hard assets, China value, AI infrastructure, selective non-US equities and cash-generative businesses with pricing power. It is less enthusiastic about long-duration bonds, highly valued US AI platforms with weak monetisation visibility, leveraged neo-clouds and fuel-sensitive businesses.

The design principle is simple: own the businesses paid for essential activity, not merely the stories that depend on cheap funding. Keep room for opportunity. And remember that a dollar of diversification usually looks unnecessary immediately before it becomes indispensable.

> *"The portfolio should have both a growth engine and a fire escape."*

The weekly triggers
US yields, Treasury volatility, Hormuz traffic, diesel, hyperscaler credit spreads, Korean semiconductor breadth, China southbound flows, India foreign flows and rare-earth controls are the report's key hinges.

Source trail: Weekly Investment Report, week ending 17 July 2026.

NOTES ON SOURCES

Source notes

This collection is based on the supplied document and its cited reading. It does not independently verify every number, date, forecast, interpretation or source claim. Forecasts and scenario views remain the views of the original authors.

Source material used

13D Research & Strategy, What I Learned This Week; Jefferies GREED & fear; CLSA Alpha Abstract; Jefferies Asia Maxima, as listed in the source report.

Not investment advice

This is a reading guide, not a recommendation to buy, sell or hold any asset. It does not take account of individual circumstances, objectives or tolerance for risk.

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